

25 Convertible bonds

On 1 November 2016 Intu (Jersey) 2 Limited (the 'Issuer') issued £375.0 million 2.875 per cent Guaranteed Convertible Bonds (2.875 per cent bonds) due 2022 at par, all of which remain outstanding at 31 December 2019. At 31 December 2019 the exchange price was £3.7506 per ordinary share (2018: £3.7506). Intu Properties plc has unconditionally and irrevocably guaranteed the due and punctual performance by the Issuer of all of its obligations (including payments) in respect of the 2.875 per cent bonds and the obligations of the Company, as guarantor, constitute direct, unsubordinated and unsecured obligations of the Company.

Subject to certain conditions, the 2.875 per cent bonds are convertible into preference shares of the Issuer which are automatically transferred to the Company in exchange for ordinary shares in the Company or (at the Company's election) any combination of ordinary shares and cash. The 2.875 per cent bonds can be converted at any time from the date 180 days prior to the Final Maturity Date of 1 November 2022 to the 20th dealing date prior to the Final Maturity Date.

The initial exchange price was £3.7506 per ordinary share, a conversion rate of approximately 26,662 ordinary shares for every £100,000 nominal of the 2.875 per cent bonds. Under the terms of the 2.875 per cent bonds, the exchange price is adjusted upon certain events including the payment of dividends by the Company over a certain threshold.

The 2.875 per cent bonds may be redeemed at par at the Company's option subject to the Company's ordinary share price having traded at 30 per cent above the conversion price for a specified period, or at any time once 85 per cent by nominal value of the 2.875 per cent bonds originally issued have been converted or cancelled. If not previously converted, redeemed or purchased and cancelled, the 2.875 per cent bonds will be redeemed at par of £375.0 million on 1 November 2022.

The 2.875 per cent bonds are listed on the Channel Islands Securities Exchange and the Open Market (Freiverkehr) of the Frankfurt Stock Exchange.

The 2.875 per cent bonds are designated as at fair value through profit or loss and so are presented on the balance sheet at fair value. Gains and losses in respect of own credit risk (driven by market movement in our debt rating) are recognised in other comprehensive income (2019: gain of £75.0 million; 2018: gain of £43.4 million) and all other gains and losses are recognised in the income statement through change in fair value of financial instruments line (2019: loss of £15.0 million; 2018: gain of £19.8 million).

At 31 December 2019, the fair value of the 2.875 per cent bonds was £254.9 million (2018: £314.9 million). During the year interest of £10.8 million (2018: £10.8 million) in respect of these bonds has been recognised within finance costs. 2018 finance costs also included £3.0 million of interest related to the 2.5 per cent convertible bonds, which matured in October 2018.

26 Operating leases

The Group earns rental income by leasing its investment properties to tenants under operating leases.

In the UK the standard shopping centre lease is for a term of 10 to 15 years. Standard lease provisions include service charge payments, recovery of other direct costs and review every five years to market rent. Standard turnover-based leases have a turnover percentage agreed with each lessee which is applied to a retail unit's annual sales and any excess between the resulting turnover rent and the minimum rent is receivable by the Group and recognised as income in the period in which it arises.

The Group's secure rental income profile is underpinned by long lease lengths (as mentioned above), high occupancy and upward only rent reviews.

The future minimum lease amounts receivable by the Group under non-cancellable operating leases for continuing operations are as follows:

£m	2019	2018
Not later than one year	322.6	374.6
Later than one year and not later than five years	788.3	987.2
Later than five years	657.3	973.5
	1,768.2	2,335.3

The income statement includes £12.7 million (2018: £14.4 million) recognised in respect of contingent rents calculated by reference to tenants' turnover.